READING GROUP: NEW AND OLD IDEAS IN MACROECONOMICS

First meeting 2026/2027: TO SET

The purpose of this reading group is to discuss past or recent work that addresses the key issues, concepts and ideas at the basis of macroeconomic theory. Indeed, we feel that usual academic seminars and core courses often do not give the relevant space for this, although this is deeply needed to make intellectual and scientific progress. Therefore, the group aims to emphasises a critical discussion at the core of the principles that guide the rational framing of modern macroeconomics, including discussions about the ideas, philosophy and historical events that inspire theoretical formulations.

We consider that a body of work belongs to macroeconomic theory insofar as it seeks to explain how aggregate outcomes - production, unemployment, inflation, crises and the distribution of income and wealth - emerge and evolve over time, and what mechanisms and institutions sustain those dynamics.

The framing of the discussion does not necessarily have to emphasise a mathematical approach. But on the contrary, the discussion of mathematical and technical subtleties is perfectly welcome whenever it is necessary for a proper comprehension of the issue at stake. Overall, this reading group aims at discussing the very concepts through which macroeconomic theory can be formulated. In that regard, it is as much a reading group in macroeconomics as a reading group on macroeconomics. The work discussed shouldn't be too topical, but that doesn't mean that it cannot be specific. In particular, empirical work is also welcome whenever it sheds light on consequential issues.

Importantly this meeting doesn't aim at growing acquaintance with the current research agendas - which more traditional seminars already do - but rather to go beyond fashionable trends and towards a broadened understanding of the possibilities of macroeconomic thinking. Therefore, work from any period of time is welcome as long as it fulfils the above requirement. Precise papers or books will be the main subjects of our discussions, but a structured presentation of a collection of thoughts on a relevant theme is also very welcome. Participants are also encouraged to present work they do not fully understand or that they are unsure about. Indeed, another goal of these meetings would be to set up a place where interrogations, puzzles and rightful doubts can be given a proper expression and benefit from collective thinking.

You will find below a list of proposed papers and themes to illustrate our purposes. This

is of course only preliminary and will benefit from proposed readings of other interested participants. Papers with a checkmark ✓ have already been discussed. **If you wish to attend feel free to join the group:**
https://chat.whatsapp.com/LDD0bQOyBvdA81E2dF9G3W

Audience: graduate students, PhD students, post-docs, assistant professors, but senior members are not a priori welcome.

Format: monthly meetings, 1h30, slides not mandatory. It would be good to write each time a summary of the discussion so as to keep track of our progresses.

Goals:

- Enlarge our macroeconomic culture
- Discuss concepts and ideas in their own right
- A space for expressing interrogations, and structure thoughts
- Benefit from collective thinking among Paris-based universities

Venue: PSE for sure, other universities as well if people want to participate!

Coordinators:

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The origins of cyclical fluctuations

✓ Angeletos, G.-M., & La'O, J. (2013). Sentiments. *Econometrica*, *81*(2), 739-779.

Benhabib, J., Wang, P., & Wen, Y. (2015). Sentiments and Aggregate Demand Fluctuations. *Econometrica*, *83*(2), 549-585.

Beaudry, P., Galizia, D., & Portier, F. (2020). Putting the Cycle Back into Business Cycle Analysis. *American Economic Review*, *110*(1), 1-47.

Beaudry, P., & Galizia, D. (2018). Reconciling Hayek's and Keynes' Views of Recessions. *The Review of Economic Studies*.

Matsuyama, K. (1999). Growing Through Cycles. *Econometrica*, *67*(2), 335-347.

Adrian, T., Boyarchenko, N., & Giannone, D. (2019). Vulnerable Growth. *American Economic Review*, *109*(4), 1263-1289. https://doi.org/10.1257/aer.20161923

Involuntary unemployment

✓ Michaillat, P., & Saez, E. (2015). Aggregate Demand, Idle Time, and Unemployment. *The Quarterly Journal of Economics*, *130*(2), 507-569.

Farmer, R. E. A., & Nicolò, G. (2018). Keynesian economics without the Phillips curve. *Journal of Economic Dynamics and Control*, *89*, 137-150.

Bhaduri, A., & Marglin, S. (1990). Unemployment and the real wage: The economic basis for contesting political ideologies. *Cambridge Journal of Economics*.

Disequilibrium

Werning, I., & Lorenzoni, G. (2026). Tâtonnement and Price Setting in General Equilibrium. NBER Working Paper 35205.

✓ Flynn, J.P., Nikolakoudis G., and Sastry K. (2026). Pricing and Production Without the Invisible Hand. NBER Working Paper 35390.

The macroeconomic circuit/aggregation

Baqaee, D. R., & Farhi, E. (2018). Macroeconomics with Heterogeneous Agents and Input-Output Networks (No. W24684; p. w24684). National Bureau of Economic Research.

Neumann, J. V. (1945). A Model of General Economic Equilibrium. *The Review of Economic Studies*, *13*(1), 1.

Cass, D., & Stiglitz, J. E. (1969). The Implications of Alternative Saving and Expectations Hypotheses for Choices of Technique and Patterns of Growth. *Journal of Political Economy*, *77*(4, Part 2), 586-627.

Baqaee, D., & Farhi, E. (2018). The Microeconomic Foundations of Aggregate Production Functions (No. W25293; p. w25293). National Bureau of Economic Research.

Inflation

✓ Lorenzoni, G & Werning, I (2023). "Inflation is Conflict," NBER Working Paper 31099

Cochrane, J. H. (2021). *The Fiscal Theory of the Price Level*. Princeton University Press.

Epistemology

Hoover, K.D. (2001) "Is Macroeconomics for Real?" in Uskali Mäki, editor. *The Economic World View*. Cambridge: Cambridge University Press.

Dogra, K. (2024). *Paradoxes and Problems in the Causal Interpretation of Equilibrium Economics*. Staff Reports. Federal Reserve Bank of New York.

Money credit and finance

Gurley, J. G., & Shaw, E. S. (1960). *Money in a Theory of Finance.* Brookings Institution.

Shin, H. S. (2009). *Risk and liquidity.*Oxford University Press.

Acharya, S., Dogra, K, Singh, S. R.. (2023). The Financial Origins of Non-Fundamental Risk. *Federal Reserve Bank of San Francisco, Working Paper Series*, *2023*(20), 01-47.

Biondi, Y. (2018). Banking, Money and Credit: A Systemic Perspective. *Accounting, Economics, and Law: A Convivium*, *8*(2).

Tobin, J. (1969). A General Equilibrium Approach To Monetary Theory. *Journal of Money, Credit and Banking*, *1*(1), 15-29.

Borio, C., & Disyatat, P. (2015). Capital flows and the current account: Taking financing (more) seriously. *BIS Working Papers*, (525).

Geanakoplos, J. (2010). The Leverage Cycle. *NBER Macroeconomics Annual.*

Lorenzoni, G. (2008). Inefficient Credit Booms. *Review of Economic Studies*, *75*(3), 809-833.